Ch. 4: The Budget of the European Union.



Rembrandt van Rijn: Money Changer (1627).

The Budget of the European Union 2021-2027.

- **Regular budget:**
- For the financial period 2021– 2027 the regular budget of the EU will be 1.074 billion EUR (1% of the GDP of the EU), corresponding to expenditures of 153 billion EUR per year amounting to 340 EUR per EU citizen.
- These figures are increased each year according to the inflation.
- The regular EU budget is limited to maximal 1.24 % of the GDP of all the Member States.
- These resources are mainly drawn from:
  - contributions from the Member States in line with their respective wealth (ca. 70% of EU budget).
  - customs duties on products imported from outside the EU, including farm levies (ca. 15% of EU budget).
  - a percentage of the value-added tax applied to goods and services throughout the EU (ca. 15% of EU budget).
- **Supplementary program budget "Next Generation EU":**
  - 750 billion EUR raised as credits from the international money market (guaranteed by the Member States – share of Austria 20 billion EUR).

European Union vs. National Budgets

- The public expenditure of the EU of 1% of the GDP is very low.
- Public spending of Member States is in the order of 30-40% of the GDP.
- But the tasks of the EU are also very limited compared to the obligations in the Member States.
- Example Austria: The budget of Austria for 2026 is 126 billion expenditure and 108 billion income. Deficit 18 billion EUR (4,2% of GDP).
- The contribution of Austria to the EU budget from 2020 on is 3,5% or 3,8 billion EUR per year of which it gets back roughly 2,2 billion annually.
- Austria is therefore a „net-payer“ where every citizen contributes ca 180 EUR each year.
- There is however in addition a substantial indirect return due to the enhanced possibilities for exports to the other Member States and investments in CEE-States who benefit strongly from the EU regional and cohesion policy.

As much 80% of the EU budget is spent by national or regional authorities in Member States (responsible for proper spending)!

EU Multiannual Financial Framework (MFF):
2021 – 2027 for Policy Areas in billion EUR.

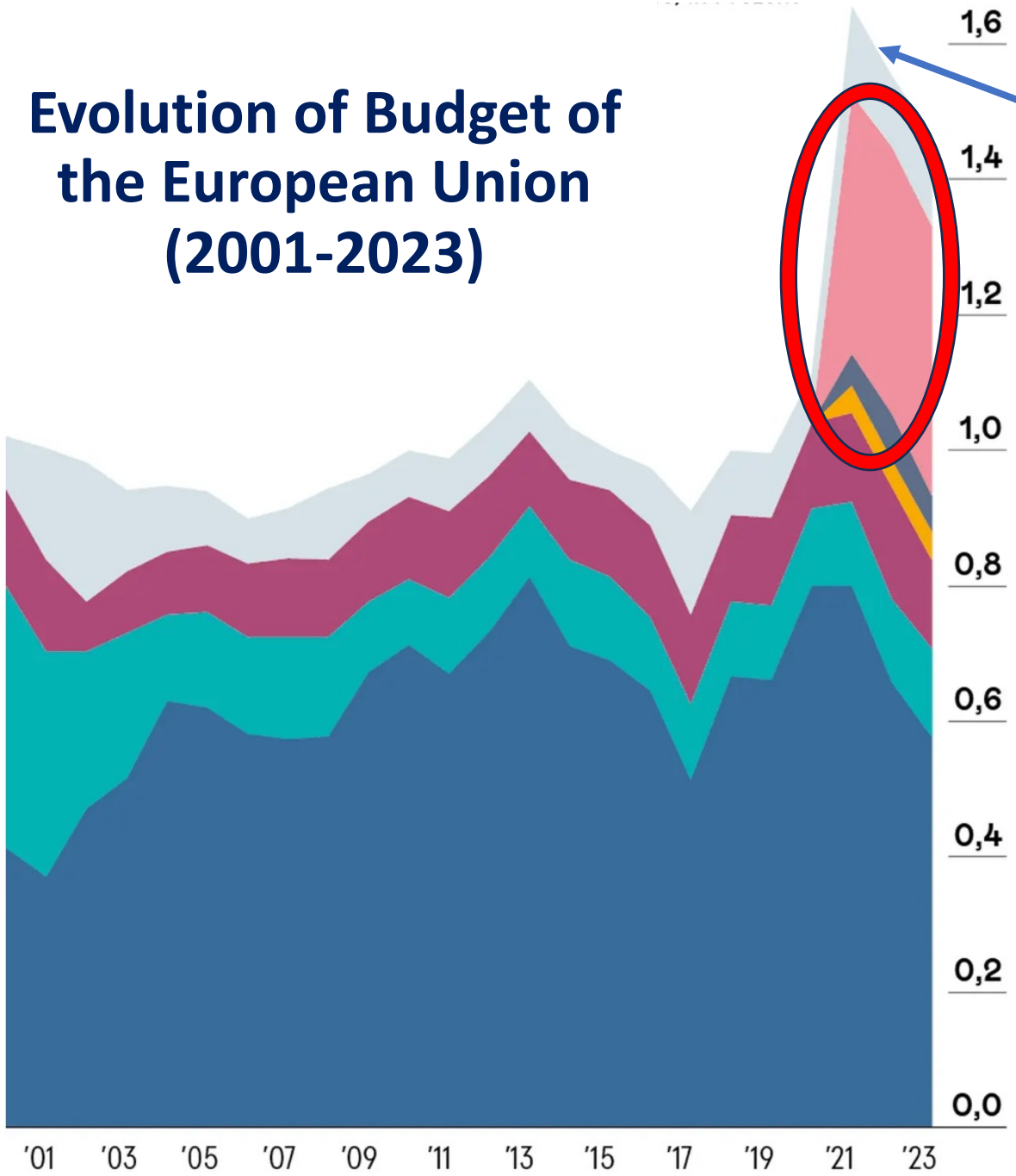
	MFF		NEXT GENERATION EU	TOTAL
1. Single Market, Innovation and Digital	132.8	12%	10.6	143.4
2. Cohesion, Resilience and Values	377.8	35%	721.9	1 099.7
3. Natural Resources and Environment	356.4	33%	17.5	373.9
4. Migration and Border Management	22.7	2%	-	22.7
5. Security and Defence	13.2	1%	-	13.2
6. Neighbourhood and the World	98.4	9%	-	98.4
7. European Public Administration	73.1	6%	-	73.1
TOTAL MFF Regular budget	**1 074.3**		Special budget **750.0**	**1 824.3**

- The present political priorities of the European citizen – internal and external security, migration, health, energy supply, climate change are not properly reflected in the regular budget positions:
  - The traditional **Common Agricultural Policy** takes 30% of the budget,
  - **Cohesion and Regional Policies** take 1/3 of the regular budget.
  - Funding for **Security and Defense** is minimal and largely left to the Member States (as foreseen in the Treaties), also **Health, Energy**.

EU Multiannual Financial Framework (MFF):
2021 – 2027 for Policy Areas in billion EUR.

- **Climate Change is seen as a horizontal issue:**
  - 30% of the regular EU budget somehow linked to the Green Deal
- **Research and Innovation** are included in the Single Market budget line supporting mainly modernisation through policies that include Horizon Europe, fair climate and digital transitions, Just Transition Fund and the Digital Europe program. Increase of European research funding desirable.
- Insufficient funding for improvement of **European infrastructure** (e.g. rail).
- **Program ”Next Generation EU”:**
  - Volume 750 billion for the period till 2027 borrowed at international money market (deficit spending).
  - Has been set up after the Corona crisis in order to support mainly the most affected countries.
  - It should enhance preparedness, recovery and resilience, via the Recovery and Resilience Facility, rescEU.
  - Main recipients: Southern and Eastern EU Member States, 50% of the amounts allocated are credits to be paid back directly by the national recipients, 50% by EU in a common effort.
  - In praxi: First action to collateralize debts of Member States (“Vergemeinschaftung von Schulden”).

Evolution of Budget of the European Union (2001-2023)



% of GDP of EU

Fines for violation of competition rules.

Common debts ("Next Generation EU"). EU introduced joint "deficit spending".

Customs.

Share of VAT collected by Member States.

Regular Member State contributions.

Possible Future Additional Program Budgets of EU.

Proposal of European Commission to double regular Community budget for the period 2028-2035.
Generate additional revenues from Carbon Border Adjustment Mechanism, Emission Trading System.
Raise additional money on international money market by issuing “EU bonds” (common debts).

- **Support to Ukraine:**

–Financing operation of the State, aid programs (refugees, food, technical support et.): 50 billion/yr

–Financing armaments: 50 billion/yr plus direct contributions of Member States – e.g. DE 10 billion.

–Financing rebuilding of Ukraine as a Candidate Member State of the EU: estimated needs: > 1.000 billion EUR, including private investments.

- **European Defence System:**

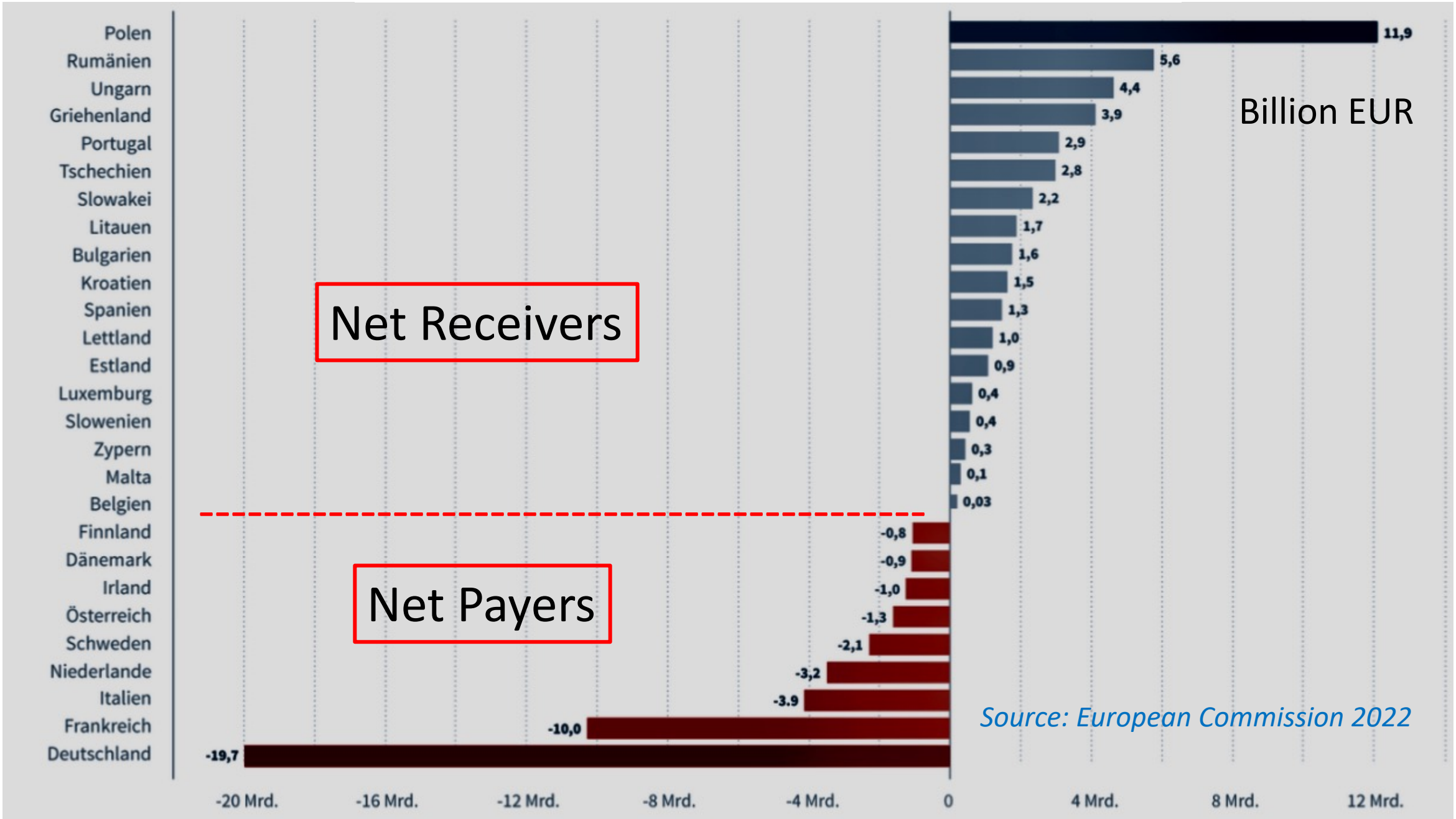
–Strengthening control of external borders.

–Enhancement of independent military capacity: EU program for 150 billion EUR (in addition to the massively increasing expenditures of the MS).

- **European Supply System:**

–Enhancement of the availability of critical goods by creating strategic reserves for crisis situations (e.g. pharmaceuticals, chips…..).

EU Contributors and Beneficiaries (2022).



Source: European Commission 2022